AIB AXYS AFRICA

www.aib-axysafrica.com



I&M Holdings HY'24 Earnings Note

research@aib-axysafrica.com



I&M Group HY'24 Earnings Note

August 26th , 2024

Ticker Information	
NSE Code:	IMH
Issued Shares (Bn):	1.65
52-week high:	KES 34.25
52-week low:	KES 16.75

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	32.1%	89.8%	95.7%	87.2%

Source: NSE, AIB-AXYS Research

Analysts

Ronny Chokaa

rchokaa@aib-axysafrica.com

Stacy Makau

smakau@aib-axysafrica.com

Recommendation	Current Price	Target Price
BUY	**KES 27.80**	**KES 34.50**

Summary

- **I&M Group surpassed in-house expectations over the first half of 2024, despite the challenging macroeconomic environment, achieving a notable 21.1% y/y growth in net earnings to KES 6.10Bn.** The 18.5% y/y jump in revenues was primarily driven by a significant 35.2% y/y increase in net interest income. Net interest margin expanded 80bps y/y - owing to higher yields on interest-earning assets. The trailing return on equity increased 70bps y/y to 16.3% while trailing return on assets increased 10bps y/y to 2.5%.

Key Highlights

- **Strong Growth in Net Interest Income:** Net Interest Income surged 35.2% y/y to KES 16.51Bn driven by a robust 48.4% y/y increase in interest income from loans and a 26.9% y/y increase in interest from government securities. In contrast, non-interest revenue declined 10.9% y/y to KES 6.16Bn largely on account of a decline in forex trading income. The funding mix shifted to 73:27 in favor of net interest income. Operating income increased 18.5% y/y to KES 22.67Bn. The average yield on interest earning assets paced up 280bps y/y to 13.4% while the cost of funds increased 200bps y/y to 6.3% reflecting the prevailing high-interest rate environment and continued focus on deposit mobilization. Consequently, net interest margin widened 80bps y/y to 7.1%.
- **Asset Quality Resilience:** Gross Non-Performing Loans (NPLs) decreased by 500bps y/y to KES 34.84Bn – driving a 130bps y/y decline in the gross NPL ratio to 11.6%. NPL coverage strengthened by 810bps y/y to 57.9%. In response to escalating credit risks, management increased credit impairment provisioning by 8.2% y/y, reflecting a cautious and prudent strategy amidst a highly uncertain macroeconomic environment.

Balance Sheet Dynamics

Customer deposits grew 17.5% y/y to KES 419.35Bn supporting the marginal 5.3% y/y expansion of the loan book to KES 284.15Bn. Management strategically increased allocation to government securities by 29.4% y/y to KES 143.13Bn capitalizing on the attractive yields. The bank proactively managed its investment portfolio in response to market fluctuations resulting in fair value gains of KES 2.44Bn on government securities.

Improvig Efficiency

Operating efficiency improved with the Cost-to-Income ratio (excluding loan-loss provisions) declining by 110bps y/y to 47.7%. This enhancement was primarily riven by a robust top-line growth as operating income surged 18.5% y/y to KES 22.67Bn, outpacing the 15.8% y/y increase in pre-provision operating expenses. Notably, cost-to-assets ratio increased marginally by 10bps to 1.9% - indicating a slight increase in operational costs relative to the bank's asset base.

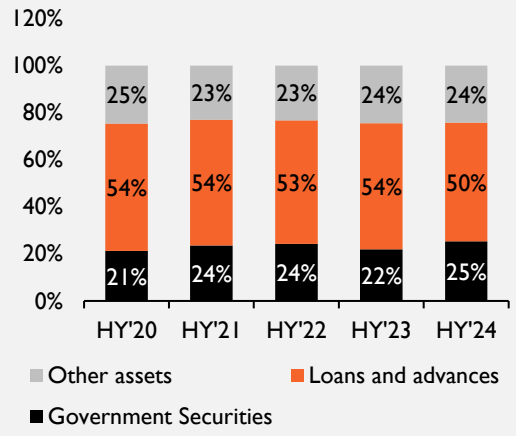
Outlook

We anticipate robust growth for the lender, driven by a multi-faceted Imara 3.0 strategy encompassing innovative product offerings, subsidiary expansion, digital transformation, and strategic partnerships. We expect the introduction of unsecured personal loans and the elimination of bank-to-mobile transaction fees to enhance customer acquisition and retention, potentially driving loan book growth and fee income. We foresee the organic growth of the lender's fast-growing subsidiaries contributing significantly to overall group performance, diversifying revenue streams and mitigating risk.

Recommendation

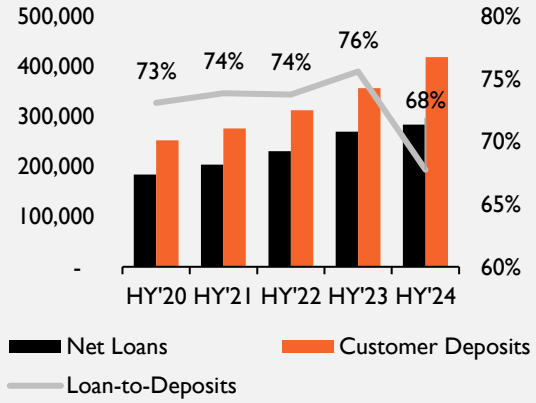
- **We maintain our *BUY* recommendation on I&M Group underpinned by the improving return on equity and ongoing strategic initiatives.** At the current market price, the stock is trading at P/E ratio of 3.4x and a P/B ratio of 0.5x. Our one-year target price for I&M Group currently stands at KES 34.50 - representing a c. 24.1% upside potential from current levels.

Chart 2: Consistent Asset Composition



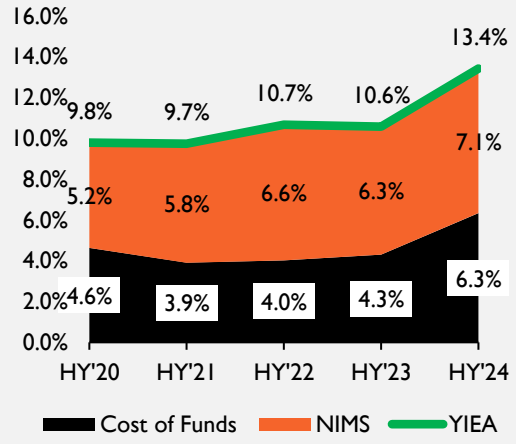
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Widening Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Income Statement	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Net Interest Income	6,919.3	8,865.6	10,521.4	12,214.8	16,513.7	▲ 35.2%
Net non-Interest Income	4,213.1	3,943.8	5,057.8	6,915.6	6,159.7	▼ (10.9%)
Total Operating income	**11,132.4**	**12,809.4**	**15,579.2**	**19,130.4**	**22,673.4**	▲ 18.5%
Provision for Impairment	(1,030.6)	(1,052.8)	(1,309.3)	(3,201.5)	(3,464.2)	▲ 8.2%
Total Operating expenses	(6,055.5)	(7,207.8)	(8,597.0)	(12,542.9)	(14,285.6)	▲ 13.9%
Profit before tax	**5,076.9**	**5,601.5**	**6,982.2**	**6,587.5**	**8,387.8**	▲ 27.3%
Profit after tax	**3,190.1**	**4,249.7**	**4,925.7**	**5,033.7**	**6,096.3**	▲ 21.1%
Core EPS Annualized	3.69	5.14	5.66	5.77	6.78	▲ 17.4%

Balance Sheet	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Government Securities	72,238.3	89,935.9	106,367.3	110,645.6	143,132.3	▲ 29.4%
Loans and Advances	184,564.8	204,458.0	231,069.6	269,742.7	284,152.2	▲ 5.3%
Total Assets	**340,639.9**	**382,036.4**	**439,665.2**	**503,497.9**	**564,383.2**	▲ 12.1%
Customer Deposits	252,483.7	276,755.3	313,178.9	356,758.0	419,351.1	▲ 17.5%
Total Liabilities	**278,570.3**	**311,951.1**	**368,214.7**	**419,388.2**	**471,612.0**	▲ 12.5%
Shareholder's Funds	**58,715.7**	**65,870.0**	**66,523.5**	**78,178.1**	**86,397.4**	▲ 10.5%

Ratio Analysis	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Spreads Analysis						
Yield on Assets	9.8%	9.7%	10.7%	10.6%	13.4%	▲ 2.8%
Cost of Funds	4.6%	3.9%	4.0%	4.3%	6.3%	▲ 2.0%
Net Interest Margin	5.2%	5.8%	6.6%	6.3%	7.1%	▲ 0.8%
ROaE	16.3%	12.3%	12.9%	15.6%	16.3%	▲ 0.7%
ROaA	2.8%	2.2%	2.1%	2.4%	2.5%	▲ 0.1%
Profit Margin	28.7%	33.2%	31.6%	26.3%	26.9%	▲ 0.6%
Operating Efficiency						
Cost to Income Less LLP	45.1%	48.1%	46.8%	48.8%	47.7%	▼ (1.1%)
Cost to Assets less LLP	1.5%	1.6%	1.7%	1.9%	1.9%	▲ 0.1%
Loan to Deposit	73.1%	73.9%	73.8%	75.6%	67.8%	▼ (7.8%)
Asset Quality						
NPL	11.4%	10.6%	9.5%	12.9%	11.6%	▼ (1.3%)
NPL Coverage	63.1%	65.4%	77.5%	49.8%	57.9%	▲ 8.1%
Cost of Risk	0.6%	0.5%	0.6%	1.2%	1.2%	▲ 0.0%
Capital Adequacy						
Core Capital/TRWA	16.3%	32.2%	28.8%	14.0%	14.8%	▲ 0.8%
Total Capital /TRWA	21.4%	32.2%	28.8%	18.8%	18.1%	▼ (0.7%)
Liquidity	47.0%	48.3%	48.8%	46.7%	50.8%	▲ 4.1%



CONTACTS

Research Desk

Ronny Chokaa

Senior Research Analyst

Stacy Makau

Research Analyst

Alex Sanja

Sheila Wambui

Email: research@aib-axysafrica.com

Equities Dealing

Nina Goswami

Bernard Kung'u

Benard Gichuru

Anthony Kiambati

Samuel Githinji

Sheema Shah

Samuel Wachira

Benson Ngugi

Email: trading@aib-axysafrica.com

Bond Dealing

Crispus Otieno

Titus Marenye

Aundrina Musyoka

Kenneth Minjire

Email: trading@aib-axysafrica.com

Derivatives Trading

Anthony Kiambati

Email: Derivapplications@aib- axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication is intended solely for informational purposes and is not authorized for public distribution or use by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group. Redistribution or dissemination of this material, in whole or in part, is strictly prohibited and may lead to legal actions. By accessing this report, you acknowledge and agree to abide by these terms, ensuring the security and confidentiality of its contents.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.

Unlock our Exclusive Research spanning Macroeconomics, Equities, Fixed Income, and Sector-Specific Analyses now seamlessly on AlphaSense, LSEG, Tellimer, and S&P platforms

S&P Global Tellimer AlphaSense LSEG